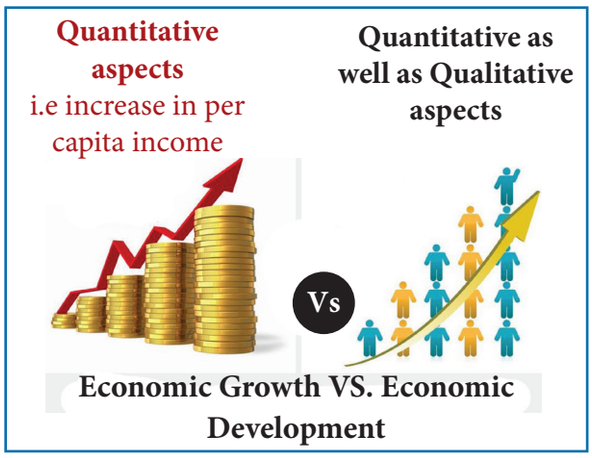
## 2. Nature and Level of Change

Development is a discontinuous and spontaneous change while growth is a gradual and steady change in the long run.

## 3. Scope of Change

Growth simply means more output. But development refers to efficiency in production i.e. output per unit of input. It also implies changes in composition of output and in allocation of resources, reduction of poverty, inequality and unemployment.



Economic Growth VS. Economic Development

## 4. Extent of change

Economic development (wider concept than economic growth) is taken to mean growth plus structural change.

**Differences between Economic Growth and Economic Development**

| Economic Growth | Economic Development |
|---|---|
| Deals with the problems of Developed countries | Deals with the problems of UDCs |
| Change is gradual and steady | Change is discontinuous and spontaneous |
| Means more output | Means not only more output but also its composition |
| Concerns Quantitative aspects i.e. increase in per capita income | Quantitative as well as Qualitative |
| Narrow | Wider concept<br>Development = Growth + Change |

## 11.3 Measurement of Economic Development

Economic development is measured on the basis of four criteria

- **Gross National Product (GNP):** GNP is the total market value of all final goods and services produced within a nation in a particular year, plus income earned by its citizens (including income of those located abroad), minus income of non-residents located in that country. GNP is one measure of the economic condition of a country, under the assumption that a higher GNP leads to a higher quality of living, all other things being equal.

- **GNP per capita:** This relates to increase in the per capita real income of the economy over the long period. This indicator of economic growth



12-Economics-Chapter_11.indd 239 23-12-2022 14:46:16